

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO. 25-04

CHINA UNITED LINES, LTD,

Complainant,

v.

AMAZON.COM SERVICES LLC,

AMAZON LOGISTICS, INC.,

AND

BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.,

Respondents.

**RESPONDENTS' OPPOSITION TO COMPLAINANT'S APPEAL OF
ORDER PARTIALLY GRANTING MOTION TO DISMISS**

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I. INTRODUCTION AND SUMMARY OF ARGUMENT

Complainant China United Lines, Ltd, (“China United” or “CUL”) has been involved since April 1, 2023 in a contract dispute with Amazon.com Services LLC (“Amazon” or “Amazon Services”), a shipper whose cargo it contracted to carry under a service contract entered into effective May 1, 2022 (the “Contract”).¹ See Order Partially Granting Motion to Dismiss (“June 6 Order”), FMC Dkt. 25-04, at 5-7 (June 6, 2025). After filing a breach of contract action against Amazon Services in federal court over a year and a half ago,² and a Request for Arbitration with the Shanghai International Arbitration Center nearly ten months ago,³ China United filed a Complaint earlier this year with the Commission asserting a Shipping Act violation. A fundamental problem with this strategy, as Chief Judge Wirth ruled, is that the Act’s prohibitions apply almost exclusively to common carriers and marine terminal operators, not to shippers such as Amazon Services, or to Amazon Service’s affiliates who were indisputably acting as shippers under the Contract. See June 6 Order, at 2, 12-16.⁴

¹ The “Contract” is the Main Transportation Agreement (“MTA”) that China United and Amazon Services entered into on April 7, 2022, incorporating a previously signed Non-disclosure Agreement (the “NDA”). A copy of the Contract is Attachment A, and the NDA is Attachment B, to Respondents’ Motion to Dismiss. Relatedly, CUL and Amazon executed a “Work Order” on April 29, 2022 that is Attachment C to Respondents’ Motion to Dismiss. The Work Order refers to China United as “LSP” and refers to the Main Transportation Agreement as the “Master Transportation Agreement;” those terms are synonymous.

² Complaint, *China United Lines, LTD, v. Amazon.com Services LLC*, No. 1:23CV10313 (S.D.N.Y., Nov. 24, 2023). A copy of the current complaint in that action is Attachment D to Respondents’ Motion to Dismiss.

³ Request for Arbitration, *China United Lines, LTD v. Amazon Services LLC, and Beijing Century Joyo Courier Service Co. Ltd.*, Shanghai International Arbitration Center (“SHIAC”) (Sept. 24, 2024). A copy of the Request is Attachment E to Respondents’ Motion to Dismiss.

⁴ These affiliates, Amazon Logistics, Inc. (“Amazon Logistics” or “ALI”), and Beijing Century Joyo Courier Service Co., Ltd. (“Beijing Century” or “BCJ”) were never parties to the Contract, and were merely two of the thirteen Amazon affiliates allowed to ship under it. The Amended Complaint does not allege, nor could it, that ALI and BCJ were acting as non-vessel operating common carriers (“NVOs”) with respect to China United, even though they are licensed NVOs for

Chief Judge Wirth accordingly dismissed all of China United's claims (Counts II-V) except for one (Count I) based on a provision of the Act that precludes shippers, as well as common carriers, from using fraudulent devices to obtain transportation at less than tariff rates. While Respondents believe there is no factual basis for this remaining count, Chief Judge Wirth was required to accept China United's factual allegations as true for purposes of deciding the motion to dismiss. Respondents believe that the case will be appropriately subject to summary disposition after discovery.

China United's appeal does not identify any error of law in Chief Judge Wirth's decision. With respect to Counts II, III, and IV, which assert causes of action that cannot apply to Respondents as shippers, China United concedes that entities can be regulated parties, such as NVOs, for some purposes and not others, and does not take issue with the Chief Judge's conclusion that the Contract and Work Order expressly identify all three Respondents as shippers. *See* June 6 Order, at 15-16. Instead, China United asserts that the three entities were operating as a "common enterprise." CUL App. at 13-14. The Chief Judge rejected this argument, pointing out that China United does not cite any law providing that such a "common enterprise" would allow the Commission to treat legally separate parties as one by piercing their separate corporate veils. *See id.* More fundamentally, China United never explains why a common enterprise finding would matter where, as here, all of the Respondent entities were unquestionably acting as shippers under the plain terms of the Contract, as China United itself concedes. *See* CUL App. at 15 ("The

other purposes. *See* 46 C.F.R. § 512.2(m)(1) (an NVO is "a shipper in its relationship with an ocean common carrier."). China United did not name either ALI or BCJ in its court action, confirming that it has done so here only in an attempt to manufacture jurisdiction. BCJ was named in the Arbitration Request, apparently to support venue in China, but the only allegation against it was that it owned a WeChat site, which does not involve any duties as a common carrier or violate the Shipping Act. *See* Mot. to Dismiss Attach. E, Arbitration Request, ¶ 4.

NVOCC Affiliates Shipped Cargo Under the Service Contracts”). Even if China United had some basis for its “common enterprise” theory, which it does not, it would be a common enterprise of entities acting as shippers, and China United’s claims against them would still be outside the Commission’s jurisdiction.

As to Count V, China United offers no argument as to how it can state a claim for reparations when it does not allege a violation of the Shipping Act as required by 46 U.S.C. § 41301(a), which only allows a person to file “a sworn complaint **alleging a violation of [the Act]**, except section 41307(b)(1).” Nor does China United provide a textual argument to counter Chief Judge Wirth’s conclusion that the regulation on which this Count is based, 46 C.F.R. § 530.10, is inapplicable. Instead, China United proffers expert testimony as to how Commission staff supposedly applied the regulation in the past. *See* CUL App. at 21 (arguing that “the Presiding Officer’s interpretation of the regulation is in direct conflict with the sworn statements of Complainants’ expert witness, Gary Kardian, who administered the subject regulation as a Commission official for many years.”). As Chief Judge Wirth correctly held, this statement “is not sufficient to ignore the plain language of the regulation,” and would also “undermine the parties’ agreement regarding termination and liquidated damages.” *See* June 6 Order, at 23. And China United undercuts its own argument that Respondents’ conduct was a “cancellation” of the contract not provided for in its terms by conceding that “the Service Contract was validly terminated by Amazon for convenience.” CUL App. at 6.

The appeals should be rejected and the dismissal of Counts II, III, IV, and V of the Amended Complaint affirmed.

II. THE CONTRACT BETWEEN CUL AND AMAZON AND THE ALLEGATIONS OF THE AMENDED COMPLAINT

China United alleges that it entered into the Contract with Amazon Services in April 2022, under which Amazon would tender cargo and China United would carry it. In connection with the contract, China United and Amazon Services also entered into a Non-Disclosure Agreement (NDA) and a Work Order.⁵ In Section 7(2) of the contract, China United agreed it would not use Amazon's trade name, trademark, service mark, logo, commercial symbol, or any other proprietary rights without Amazon's prior written consent.

All of these agreements were entered into between China United as the carrier and Amazon Services as a shipper. Amazon Logistics and Beijing Century, the other two entities named in the Complaint, were not party to any of the three agreements identified above. The Work Order defines the shipper as "Amazon and/or the affiliates of Amazon identified in Schedule 3." *See* Mot. to Dismiss Attach. C, Work Order, Section 2(1)(a). The Contract and Work Order identify thirteen other "Shippers" in schedule 3 of the Work Order as "affiliates of Amazon" who "may secure services under this Work Order," including Amazon Logistics and Beijing Century. *See* Mot. to Dismiss Attach. C, Work Order, Schedule 3, Sections 9(a)(iii) and (x); 9(b)(i) and (ii). Of the thirteen affiliate shippers named in the Work Order, China United named only Amazon Logistics and Beijing Century in its Amended Complaint. The Amended Complaint makes no allegation that Amazon Logistics and Beijing Century themselves took any of the actions complained of,

⁵ Chief Judge Wirth properly considered the Contract and the incorporated NDA and the Work Order without converting the motion to dismiss into one for summary disposition because China United "'relied on the terms and effect of [the] document[s] in drafting the complaint' and the documents are thus 'integral to the complaint.'" *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Dkt. No. 13-07, 2014 WL 5316345, at *12 (ALJ April 17, 2014) (citing and quoting *Davis v. HSBC Bank*, 691 F.3d 1152, 1160 (9th Cir. 2012)). The contractual terms are heavily cited and relied upon throughout the Amended Complaint. *See, e.g.*, Amended Compl. ¶¶ 20, 22, 32, 60.

though it does impermissibly attempt to lump all three Respondents together in a number of allegations to try to hide this fact.

All of the services prescribed under the Work Order apply to “shippers.” According to the Work Order, “a shipper may tender cargo, either directly or through its agents or suppliers, as a beneficial cargo owner (“BOC”) or non-vessel operating common carrier (“NVO”) as set forth in Schedule 3.” *See* Mot. to Dismiss Attach. C, Work Order, Section 2(1)(a). ALI and BCJ are identified as NVOs only as part of a representation that they are in fact NVOs (and thus allowed to ship under the contract). *See* Mot. to Dismiss Attach. C, Work Order, Schedule 3, Section 9(b)(i) and (ii). The Contract is consistent with the Work Order, identifying each Amazon entity as “the shipper” whether it is the cargo owner or an NVO. *See* Mot. to Dismiss Attach. A, Contract, Service Addendum, Section 1(2)(a); *see also id.* at 1(1) (defining “Amazon” as “Amazon.com Services LLC or any of its affiliates that receive Services”), and 2 (defining “Services” as the services provided under the Work Order).

On April 1, 2023, Amazon Services served CUL a 90-day notice of its election to terminate the Work Order for convenience. *See* Am. Compl. ¶ 25. During the 90-day notice period, Amazon Services separately discovered China United’s breaches of Section 7(2) of the MTA. *See id.* ¶ 32. A violation of Section 7(2) of the MTA warrants immediate termination. *See* Mot. to Dismiss Attach. A, Contract, Section 5(3). So, on June 7, 2023, Amazon Services issued a superseding notice to CUL pursuant to the Contract immediately terminating the MTA for cause for the violation. *See* Am. Compl. ¶ 31.

The Amended Complaint makes clear that the underlying dispute is over Amazon Services’ termination of a Contract for shipping services provided to it and its affiliates, all acting as shippers, and whether the termination is properly for cause or must be considered to have been

made for convenience. China United has well understood this, as demonstrated by its filing a breach of contract action against Amazon Services in federal court, and its noticing of a contractual arbitration in Shanghai. Chief Judge Wirth properly held, based on the allegations of the Amended Complaint, that Counts II, III, and IV could not be maintained because all of the Respondents were acting as shippers and those claims can only be brought against common carriers or marine terminal operators. *See* June 6 Order, at 18-20. She also held that Count V could not be maintained because the dispute between the parties is over whether the Contract provided cause for a termination or whether the Contract should be deemed terminated for convenience and liquidated damages paid, both of which are expressly provided for in the Contract when applicable.

III. THE STANDARD OF REVIEW

The Commission's rules do not identify a standard of review for appeals of an ALJ's decision granting a motion to dismiss. *See* 46 C.F.R. § 502.227(b)-(e). Accordingly, the Commission applies the *de novo* standard applied in federal courts. *See SSA Terminals, LLC v. City of Oakland*, FMC Dkt. No. 09-08, 2011 WL 7143995, at *1 (FMC Dec. 13, 2011) ("The Commission reviews denials of motions to dismiss *de novo*, as do the Courts of Appeals.") (citing *Bombardier Corp. v. National R.R. Passenger Corp.*, 333 F.3d 250, 252 (D.C. Cir. 2003)); *see also In Re: Vehicle Carrier Services*, FMC Dkt. Nos. 16-01, 16-07, 16-10, and 16-11, 2019 WL 5558120, at *4 (FMC Oct. 21, 2019) and *Maher Terminals, LLC v. The Port Auth. Of N.Y. and N.J.*, FMC Dkt. No. 12-02, 2015 WL 9426189, at *5 (FMC Dec. 18, 2015) (both applying *de novo* standard to appeals of grants of motions to dismiss).

IV. CHIEF JUDGE WIRTH PROPERLY HELD THAT COUNTS II, III, AND IV COULD NOT BE BROUGHT AGAINST THE TWO NAMED AMAZON AFFILIATES BECAUSE THEY WERE ACTING AS SHIPPERS, NOT COMMON CARRIERS, UNDER THE CONTRACT

China United concedes that Counts II, III, and IV of the Amended Complaint cannot be brought against shippers. That is why it has not asserted them against Amazon Services, the party to the Contract underlying the dispute, the party it has sued in two other forums, and the party that actually engaged in the conduct China United challenges.⁶ Instead, it asserts them against Amazon Logistics, which it did not sue in either of these other forums, and Beijing Century, which it added to the suit in China without making any allegations against it relevant to any Shipping Act violation.⁷

China United also does not contest the general rule that, as licensed NVOs, Amazon Logistics and Beijing Century are shippers in their relationship with China United, even if they might be carriers with respect to other shippers from whom they solicit consolidated cargo to ship with China United. *See* 46 C.F.R. § 512.2(m)(1) (defining an NVO as “a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier.”); *Crowley Liner Services, Inc. v. Puerto Rico Ports Authority*, FMC Dkt. No. 00-02, 2001 WL 1632555, at *21 (ALJ Sept. 20, 2001) (NVOs “occupy a peculiar position in the shipping industry acting both as shippers vis-a-vis vessel-operating carriers and carriers vis-a-vis the cargo-owning shippers, who are their customers.”).

⁶ The Amended Complaint makes no factual allegations specific to Amazon Logistics and Beijing Century other than that they hold NVO licenses and were allowed to ship under the Contract and Work Order. *See* Am. Compl. ¶¶ 4-5, 7, 17, 57-58, 72, 74.

⁷ As noted above, the only allegation against Beijing Century in the arbitration is that it owns a WeChat site. *See* Mot. to Dismiss Attach. E ¶ 4. Beijing Century was apparently added to try to establish a colorable basis for venue in China, as suing there violates the Contract which provides for venue in New York. *See* Mot. to Dismiss Attach. E, Arbitration Request, ¶ 4.

Finally, China United does not contest the general rule relied on by Chief Judge Wirth, supported by abundant Commission precedent, and affirmed by the courts, that “not everything an ocean carrier or marine terminal operator does is within the Commission’s purview—an ocean carrier or marine terminal operator must be acting as a common carrier or marine terminal operator as defined by the Shipping Act with respect to the conduct at issue.” June 6 Order, at 13 (quoting *Final Rule: Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 Fed Reg. 29638, 29650 (May 18, 2020)). The Commission reaffirmed this rule just last month:

[T]he Commission’s authority is limited to activities and entities that are regulated under the Shipping Act. *See, e.g., Crocus Investments LLC v. Marine Transport Logistics*, Docket No. 15-04, 2019 WL 4734299, at *7 (FMC July 16, 2019) (“[T]he inquiry [to determine if the Shipping Act applies] is whether a respondent was acting as [a] regulated entity with respect to the conduct at issue.”), *aff’d on other grounds, Crocus v. Fed. Mar. Comm’n*, No. 21-1199, 2022 WL 3012275 (D.C. Cir. July 29, 2022); *see also Auction Block Co. v. Fed. Mar. Comm’n*, 606 F. App’x 347, 347-48 (9th Cir. 2015). (affirming terminal’s conduct not within Shipping Act’s jurisdiction where it did not meet the statutory definition of “marine terminal operator” by not serving carriers engaged in international trade). Ocean common carriers are clearly acting in their regulated capacity—and thus within the Commission’s jurisdiction—when engaging in the specific business activities related to ocean transportation service in trade between the U.S. and a foreign port. *See* 46 U.S.C. § 40102(7) (defining “common carrier”) and (18) (defining “ocean common carrier”). The more attenuated the relationship is between carriers’ core activities involving handling, storing, or transporting cargo and the activities at issue, the less likely they are to fall under the Shipping Act.

FMC Agreement No. 201349, World Shipping Council Agreement, A Cooperative Working Agreement, FMC Dkt. No. 25-10, 2025 WL 1828574, at *3 (FMC June 26, 2025); *see also Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642, 646 (D.C. Cir. 1978) (FMC’s jurisdictional authority did not include cargo originating from or ultimately bound for U.S. inland destinations that was exported or imported through a foreign port); *CFI Distribution, Inc. v. Service By Air, Inc.*, FMC

Dkt. No. 17-05, 2021 WL 3367603, at *4-5 (FMC July 26, 2021) (common carrier status depends on the handling of the particular shipments at issue) (citing *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 16-16, 2020 WL 13512925, *6 (FMC Oct. 29, 2020) and *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC Dkt. No. 08-04, 2011 WL 7144007, *16 (ALJ Mar. 9, 2011)); and *Crocus Investments LLC v. Marine Transport Logistics*, FMC Dkt. No. 15-04, 1 F.M.C.2d at 406, 2019 WL 4734299, at *4 (FMC July 16, 2019) (“the fact that Marine Transport is licensed as a regulated entity does not mean that everything it does is subject to § 41102(c). . . . There must also be a link between the respondents’ regulated status and the conduct that allegedly violates the Shipping Act.”) (citing *Auction Block and Petchem, Inc. v. Canaveral Port Authority*, FMC Dkt. No. 84-28, 1986 WL 170038, at *7 (FMC March 28, 1986)).

As Chief Judge Wirth correctly found in applying this rule, all three Respondents are expressly identified as shippers under the Contract and Work Order, and China United itself describes Amazon, which it repeatedly defines to include all three Respondents, as “the Shipper party.” June 6 Order at 14-15; *see also* CUL App. at 15 (“Respondent affiliates in fact shipped cargo under the Service Contract at issue in this proceeding”).⁸ The appeal presents no basis for any contention that Amazon Logistics and Beijing Century were not acting as shippers with respect to China United, which was acting as an ocean common carrier, as the Contract expressly provides.

Unable to point to anything in its Amended Complaint or in the Contract and Work Order to support the idea that Amazon Logistics and Beijing Century were not acting as shippers, China

⁸ Section 2(1)(a) of the Work Order defines the shipper as “Amazon and/or the affiliates of Amazon identified in Schedule 3.” The Contract and Schedule 3, Sections 9(a)(iii) and (x); 9(b)(i) and (ii) of the Work Order identify ALI and BCJ as two of thirteen “Shippers” who “may secure services under this Work Order.” Section 2(1)(a) of the Work Order provides that “a shipper may tender cargo, either directly or through its agents or suppliers, as a beneficial cargo owner (“BOC”) or non-vessel operating common carrier (“NVOC”) as set forth in Schedule 3.”

United advances a “common enterprise” theory of jurisdiction that is unsupported by any allegations in the Amended Complaint, and is illogical and irrelevant in any event. CUL App. at 14-18. Indeed, much of China United’s argument improperly references matters outside the Amended Complaint, thus implicitly conceding that its pleading is insufficient. *See id.* (citing the affidavit of a China United employee).

China United contends that the affiliates’ NVO status can be attributed to Amazon Services because all are under “common ownership and control” and each booked cargo under the contract, allowing the Commission to exercise jurisdiction over Amazon Services despite the fact that it is not an NVO, and over the affiliates even though they were acting as shippers and not NVOs with respect to China United. *See id.* Chief Judge Wirth already rejected this theory and correctly held that these assertions are insufficient to allow the Commission to ignore the separate corporate structures of these companies, which would require corporate veil-piercing allegations of the type that China United has not made (and cannot make). *See* June 6 Order, at 14-15.

The only precedent China United cites with respect to this “common enterprise” theory of jurisdiction, *Ocean Network Express PTE. Ltd. and Ocean Network Express (North America) Inc.—Possible Violations of 46 U.S.C. § 41102(c)*, FMC Dkt. No. 21-17, 2022 WL 602648 (ALJ Feb. 23, 2022), provides no support for its position. In that case, the Administrative Law Judge found there to be a potential factual issue as to whether an ocean carrier’s U.S. subsidiary was also acting as a common carrier. *See id.* at *2 (noting the assertion that the subsidiary acted as a “principal and carrier in its own name”). Here, there is no allegation, nor could there be, that Amazon Services acted as a “carrier in its own name.” It was a shipper at all times, and China United does not allege otherwise. More fundamentally, China United never explains how its “common enterprise” theory could possibly be relevant given that all three entities were acting as

shippers at all times. The Commission has no more jurisdiction over these claims against a “common enterprise” of three shippers than it does over the three shippers independently.

Lacking any factual or legal support for its position, China United advances the policy argument that if its claims in Counts II, III, and IV are not allowed to go forward, then “any regulated entity could potentially benefit financially from unreasonable behavior that violates the Shipping Act by having an unregulated affiliate sign the Service Contract or termination notice.” CUL App. at 15. This assertion is illogical considering the facts of this case, in which Amazon Services was the party to the contract, all of China United’s dealings were with Amazon Services, Amazon Logistics and Beijing Century were simply two of thirteen affiliates allowed to ship under the contract, and Amazon Services was the only party CUL sued in both of its two prior related actions. Rather, the Commission should be concerned with China United’s transparent attempt to manufacture the Commission’s jurisdiction by naming Amazon Logistics and Beijing Century as respondents in an action that challenges the actions of Amazon Services, a shipper, in terminating a Contract that they were not parties to. In any event, Commission precedent on this jurisdictional issue is clear and cannot be overcome by policy arguments, especially speculative, unsupported, and illogical ones. *See, e.g., Landstar Exp. America v. FMC*, 569 F.3d 493, 498 (D.C. Cir. 2009) (rejecting the Commission’s attempt to exercise jurisdiction over forwarder agents because “neither courts nor federal agencies can rewrite a statute’s plain text to correspond to its supposed purposes”).

Finally, China United asks for “fulsome [sic] discovery” because the jurisdictional issue is supposedly “inextricably intertwined” with the merits of the case.” CUL Opp. at 17. China United never explains what new information might be gained from discovery on the issue that is not already apparent from the plain language of the Contract and the Work Order. *See Food Lion, Inc.*

v. United Food & Com. Workers Int'l Union, AFL-CIO-CLC, 103 F.3d 1007, 1013 (D.C. Cir. 1997) (prohibiting discovery where “there is no likelihood that useful evidence might be uncovered.”) (quoting *In re Fontaine*, 402 F. Supp. 1219, 1221 (E.D.N.Y. 1975)).

Chief Judge Wirth correctly held that Counts II, III, and IV of the Amended Complaint are outside the Commission’s jurisdiction and must be dismissed.

V. COUNTS II, III, AND IV WOULD FAIL TO STATE A CLAIM EVEN IF THEY WERE WITHIN THE COMMISSION’S JURISDICTION

Chief Judge Wirth also correctly found that even if the Commission had jurisdiction over Counts II, III, and IV because Amazon Logistics and Beijing Century were somehow acting as common carriers with respect to China United, the claims would fail to state a claim in any event.

A. The Complaint contains no particularized allegations against Amazon Logistics and Beijing Century.

Although the claims in Counts II, III, and IV are brought only against Amazon Logistics and Beijing Century, they do not contain any allegations particular to these parties that either engaged in any of the conduct that purportedly violated the Act. Since neither was a party to the Contract or had any duties under it other than to tend cargo as shippers, it is implausible in any event to presume that they did so. Amazon Logistics and Beijing Century did not negotiate or impose any minimum volume commitment under the Contract, enter into it, or terminate it. They were simply two of over a dozen affiliates allowed to ship under the contract, who were plucked out of this group of shippers to be respondents simply because they hold NVO licenses and not because China United has any reason to believe that they were involved in the conduct alleged.

A review of the Amended Complaint in its entirety confirms the point. Although it contains 88 paragraphs that extend over 22 pages, the Amended Complaint makes almost no allegations specific to Amazon Logistics and Beijing Century. The only allegations specifically directed

against Amazon Logistics and Beijing Century are conclusory assertions that they are (1) corporations that are also NVOs, *see* Am. Compl. ¶¶ 4-5, 7, 17, 57, 72; (2) named affiliates in the Work Order authorized to receive shipping services under it, *see id.* ¶¶ 17, 58, 74; and (3) NVOs who violated 46 U.S.C. § 41102(c). *See id.* ¶ 51.

The Amended Complaint does not contain a single allegation that Amazon Logistics and Beijing Century, as opposed to Amazon Services, took any specific action that would support any claims against them. Instead, China United seeks to cover up the Commission’s lack of jurisdiction over Amazon Services for these claims by collectively referring to all three respondents as “Amazon” so that allegations against Amazon Services, the party that negotiated, entered into, administered, and terminated the contract, can somehow be attributed to ALI and BCJ. *See* Am. Compl. at 1 (“herein each a ‘Respondent’ and collectively ‘Respondents’ or ‘Amazon’”). This is an obvious subterfuge to evade the jurisdictional limits on Counts II-IV.

A clear example of this subterfuge can be seen in ¶¶ 72-74 of the Amended Complaint. Paragraph 72 contains the legal assertion that Amazon Logistics and Beijing Century are common carriers as defined in 46 U.S.C. § 40102(7), and paragraph 74 asserts that they were “named affiliates in the Service Contract,” i.e., shippers allowed to ship under the Contract. When making allegations regarding specific conduct in support of the claims in paragraph 73, however, the Amended Complaint alleges that “Respondents,” including Amazon Services which is not a carrier subject to the count being pled, “negotiated and entered a Service Contract whereby they would receive lower rates and charges for ocean transportation than would otherwise apply in exchange for shipping a guaranteed minimum volume of goods with China United.”

The shift from specifically identifying Amazon Logistics and Beijing Century to the more general “Respondents” gives away the game. CUL knows it does not have evidence that Amazon

Logistics and Beijing Century were engaged in this conduct. To the contrary, the Contract itself discloses that ALI and BCJ did not “enter” into it; only Amazon Services, a shipper not subject to the claim, did so. China United thus seeks to bring claims against Amazon Logistics and Beijing Century without any basis.

Nor is this a case where China United can properly argue that it has no knowledge as to which of the three respondent entities might have engaged in the conduct it challenges, and thus has to lump them all together in its allegations and let discovery sort out who did what. China United itself was party to the Contract and knows full well that the Contract was entered into, negotiated, administered, and terminated by Amazon Services, a shipper, and not by Amazon Logistics and Beijing Century acting as NVOs. Indeed, in the other forums in which China United is litigating its breach of contract claims, it has expressly acknowledged as much. *See* Complaint, *China United Lines, LTD, v. Amazon.com Services LLC*, No. 1:23CV10313 (S.D.N.Y., Nov. 24, 2023) ¶¶ 8, 13, 26 (alleging that Amazon Services negotiated and entered into the contract and making no mention of Amazon Logistics and Beijing Century).

China United’s response to these issues is that the Chief Administrative Law Judge did not fully appreciate that when it made allegations against “Amazon” it was including all three Respondents and not just Amazon Services. CUL App. 12-13. That response simply concedes that China United made no effort to plead any facts that would support claims against Amazon Logistics and Beijing Century. And as Chief Judge Wirth noted, the allegations involved conduct of Amazon Services as the party to the Contract. *See* June 6 Order at 14-15 (noting that the amended complaint does not identify specific conduct of Amazon Logistics or Beijing Century but instead focuses on “Amazon’s actions”) (citing Am. Compl. ¶¶ 54, 63, 68, 75, 79) (emphasis in original). The actions complained of were actions taken by Amazon Services pursuant to its

contract with China United and the Amended Complaint provides no allegations giving any reason to conclude, or even surmise, that Amazon Logistics and Beijing Century were involved in the alleged Shipping Act violations, or could be held responsible for them.

The allegations of the Amended Complaint are wholly insufficient to state claims against Amazon Logistics and Beijing Century and would be subject to dismissal even if they were within the Commission's jurisdiction.

B. Count II does not adequately allege that the contract dispute at issue occurred on a normal, customary, and continuous basis.

In Count II, the Amended Complaint alleges a single instance in which the Respondents supposedly acted pretextually to terminate China United's Contract for cause rather than for convenience, which is the basis of the dispute between the parties. "Commission precedent is clear that 'one prior' violation 'falls short of the requirement' that [the respondent's] challenged conduct be 'normal, customary, and continuous.'" *Crocus Investments, LLC v. FMC*, 2022 WL 3012275, at *5 (D.C. Cir. 2022) (*Crocus Investments, LLC v. Marine Transp. Logistics, Inc.* FMC Dkt. No. 15-04, 2021 WL 3732849, at *11 (FMC Aug. 18, 2021)). The one-off dispute that CUL has been litigating against Amazon in various other forums as a breach of contract action for well over a year thus as a matter of law cannot be considered an unreasonable practice.

In paragraph 52, the complaint alleges a practice "by Respondents" of "us[ing] . . . a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment, and/or engaging in pretextual strategies for terminating or failure to perform minimum volume commitments." Am. Compl. ¶ 52. Since it is not alleged that Amazon Logistics or Beijing Century enters into ocean service contracts or terminates such contracts, Chief Judge Wirth correctly found this insufficient to allege a practice on their part. *See* June 6 Order, at 18.

“Rather, these are actions that were taken by Amazon [Services], not by its affiliates. Therefore, a practice by Amazon Logistics or Beijing Century is not plausibly alleged.” *Id.*

Again, China United’s only response is to note that it made the allegations against “Respondents.” Again, this attempted reliance on a vague allegation cannot overcome the fact that it is not Amazon Logistics or Beijing Century that entered into contracts with ocean shippers, much less did so with the kind of clauses that CUL attempts to challenge here, it is Amazon Services. Speculation that “Respondents” “might have acted similarly regarding other clients past and present [is] insufficient to prove normal, customary, and continuous conduct.” *Hangzhou Qianwang Dress Co. v. RDD Freight Int’l Inc.*, FMC Dkt. No. 17-02, 2020 WL 5406762, at *4 (FMC Sept. 1, 2020).

China United argues that its claim of a “practice” is supported by the complaint in *GSC Logistics, Inc. v. Amazon.com Services, LLC and Amazon Logistics, Inc.*, No.: 1:23-cv-05368-JGLC (S.D.N.Y.), which supposedly alleges similar conduct by Amazon Services and Amazon Logistics. Again, allegations against Amazon Services, even if they were supported—and they are not—would not establish a practice by Amazon Logistics or Beijing Century. A review of the *GSC* complaint reveals that it contains only one allegation against Amazon Logistics—that it entered into a contract with the plaintiff, and none against Beijing Century. *See* GSC Am. Compl. ¶ 51.

Count II is subject to dismissal on this independent ground as well.

C. Count II does not allege conduct relating to the receiving, handling, storing, or delivering of property.

Count II is based on “Respondents” allegedly “pretextual” conduct in terminating the Contract with CUL, and does not include any allegations concerning receiving, handling, storing, or delivering property. Nor would it make any sense for it to do so, since Amazon, the party to

the Contract, was a shipper, and receiving, handling, storing, and delivery of property is generally done by carriers and marine terminal operators, not shippers.

Under the Shipping Act, an unreasonable regulation or practice must be one “relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The Commission has previously ruled that this provision does not relate to the transportation of property. *See, e.g., J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419 (ALJ 1962) (claims for loss of or damage to cargo or for damages due to failure to follow routing instructions do not fall within the Act) (citing *Pilgrim Furniture Co., Inc. v. American-Hawaiian Steamship Co.*, 2 U.S.M.C. 517 (1941)); *Bills of Lading – Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (USMC 1949) (section 17, second paragraph, is confined to the receiving, handling, storing, or delivering of property, to the exclusion of transportation).

The Commission has held that practices within the scope of 46 U.S.C. § 41102(c) can include space allocation of cargo or detention and demurrage charges. *See, e.g., MSRF, Inc. v. HMM Co*, FMC Dkt. No. 22-20, at 21-22 (ALJ Nov. 22, 2023), *notice of decision not to review*, *MSRF, Inc. v. HMM Co.*, FMC Dkt. No. 22-20, (Dec. 26, 2023). Those cases directly involve the physical handling of property. Here there is no such connection whatsoever. The dispute is over whether the Contract was properly terminated for cause or should be considered to have been terminated for convenience. That does not relate to receiving, handling, storing, or delivering property. Chief Judge Wirth did not find it necessary to reach this ground, but it provides another separate and independent ground for dismissal of Count II.

D. Count IV did not state a claim for failure to operate in accordance with a filed agreement.

Count IV alleges a violation of 46 U.S.C. § 41104(a)(2) for alleged failure to operate in accordance with a filed agreement, namely the Contract between Amazon and CUL.⁹ However, as Chief Judge Wirth noted, “Amazon Logistics and Beijing Century were not parties to the service contract but merely affiliates allowed to ship under it. Accordingly, a section 41104(a)(2) claim is not plausibly alleged.” June 6 Order, at 19.

In addition, this count is merely a breach of contract claim over which the Commission does not have jurisdiction under 46 U.S.C. § 40502(f). The prohibitions included in 46 U.S.C. § 41102(a)(2) and its predecessor provisions in the Shipping Act¹⁰ are “intended to maintain the integrity of the common carrier tariff and service contract systems” by requiring filing of tariffs and service contracts with the Commission for carriers operating under such contracts. *See* S. Rep. No. 61, 105th Cong., 1st Sess., at 27 (1998). They are not intended to interject the Commission in contractual disputes. Section 40502(f) expressly provides that “[u]nless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” The “failure to operate in accordance with a filed agreement” prohibited by 46 U.S.C. § 41104(a)(2) cannot encompass a mere failure to abide by the terms of a filed service contract, or 46 U.S.C. § 40502(f) would be read entirely out of the Act.

The Commission has held that for 46 U.S.C. § 40502(f) “to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just

⁹ Section 41104(a)(2)(A) makes it unlawful for common carriers to “provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under [46 U.S.C. §§ 40501-03], unless excepted or exempted”

¹⁰ Section 41104(a)(2) was previously Section 10(a)(2) of the Shipping Act of 1984.

breach of contract claims, as such claims would not be actionable before the Commission in any event.” *Cargo One, Inc. v. Cosco Container Lines Co. Ltd*, FMC Dkt. No. 99-24, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000). Claims “premised on the obligation to meet one’s contract commitments” are thus “outside its jurisdiction,” even if they also might state Shipping Act claims. *Id.* *Cargo One* held that absent very unusual circumstances, any claim that a carrier violated 46 U.S.C. § 41104(a)(2) is the equivalent of a breach of contract claim and must be dismissed. *Id.* China United has not alleged such unusual circumstances here. Count IV is subject to dismissal on these independent grounds as well.

VI. COUNT V OF THE AMENDED COMPLAINT DOES NOT STATE A CLAIM

China United describes Count V of its Amended Complaint as “an alternative pleading regarding the same wrongful acts” that form the basis of the other counts, and as presenting a “novel issue.” CUL App. at 11, 21. It was in fact not only an “alternative” claim but also an afterthought, as it was first pled in the Amended Complaint, unsupported by any additional factual allegations. Chief Judge Wirth properly held the claim to be foreclosed by the plain language of the regulation, and did not need to reach the alternative basis for dismissal that it does not plead a violation of the Act as required for a reparations claim. *See* June 6 Order, at 23.

A. The Shipping Act does not allow a private party to bring a reparations action based on an alleged violation of a regulation rather than a provision of the Shipping Act.

The Shipping Act allows a person to file “a sworn complaint alleging a violation of [the Act], except section 41307(b)(1).” 46 U.S.C. § 41301(a). 46 U.S.C. § 41305(b) likewise allows the Commission in such an action to “direct the payment of reparations to the complainant for actual injury caused by a violation of [the Act].” Count V does not allege a violation of the Act and does not even refer to any provision of the Act. It cites a Commission regulation, but the plain

language of the Shipping Act does not allow a private reparations action to enforce a regulation. Chief Judge Wirth did not need to reach the issue and China United does not address the matter on appeal. Because Count V does not allege a violation of the Act, this provides an independent basis for the dismissal of Count V.

In opposing the Motion to Dismiss, China United argued that a “regulatory violation itself constitutes a violation for which the Shipping Act, and [46 U.S.C.] Section 41107 expressly authorizes the Commission to grant relief in the form of a ‘refund of a charge’ to the affected jurisdictional party.” June 6 Order, at 20 (quoting China United Opposition, at 26). China United cites Section 41107 in a background section of its appeal brief but does not otherwise address the issue on appeal. As noted above, however, Section 41305 is the provision applicable to private reparations proceedings and it requires an allegation of a violation of the Act, not a regulation. Section 41107 is an enforcement provision that allows the Commission to seek a civil penalty payable to the United States or “in lieu of a civil penalty . . . the refund of a charge.” 46 U.S.C. § 41107(a). A private party such as China United cannot seek a civil penalty, and thus cannot seek a refund of a charge “in lieu of” a civil penalty. China United has not cited any case in which a private Complainant has been able to seek a civil penalty or a refund in lieu of a civil penalty and Respondents are not aware of any. The Shipping Act expressly authorizes private reparations actions and the relief available in such actions without any reference to 46 U.S.C. § 41107. *See* 46 U.S.C. § 41301(a); 46 U.S.C. § 41305(b). Section 41107 likewise make no reference to private reparations actions, only to civil penalties and a remedy in lieu of a penalty.

The Commission has expressly distinguished private reparations actions under Section 41305 and civil penalty actions under Section 41107 and held that “[t]his statutory scheme does not contemplate the imposition of civil penalties in a private party complaint proceeding.”

California Shipping Line, Inc. v. Yangming Marine Transport Corp., 25 S.R.R. 1213, 1231 (1990) (discussing Sections 11(a) and 13(a) of the Shipping Act of 1984, now codified as 46 U.S.C. § 41305(a) and 46 U.S.C. § 41107(a) respectively); *see also East Coast Columbia Conference, et al, Petition for Investigation*, 22 S.R.R. 723, 726 (1984) (1916 Act) (third parties are not part of civil penalty proceedings). When Congress amended Section 41107(a) in 2022 to allow the Commission to award refunds “in lieu of” civil penalties it did not disturb this holding that private parties cannot proceed under Section 41107. This result is in any event squarely precluded by Congress’ use of the words “in lieu of” when authorizing refunds—a private party cannot seek refunds “in lieu of” a civil penalty because it cannot seek a civil penalty.

Judge Crovella’s decision in *International Longshoremen's Ass’n (“ILA”), v. Gateway Terminals, LLC*. FMC Dkt. No. 22-12, 2022 WL 16923689 (FMC Nov. 7, 2022) confirms the point. Issued after Section 41107 was amended to add refund authority, it dealt with a request for reparations “in accordance with Section 41107(a).” *Id.* at *5. Judge Crovella acknowledged that Section 41107 “addresses not reparations but monetary penalties or refunds,” but held that because the complainant has also requested “such other and further relief as the Commission deems just and proper,” and “taking into consideration that the Amended Complaint was brought under Section 41301, Complainant’s prayer for relief can be construed as seeking reparations under Section 41305.” *Id.*; *see also SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Dkt. No. 22-34, 2023 WL 4418617, at *3 (FMC July 6, 2023) (“The damages that any complainant may be entitled to are limited by what is permitted by the Shipping Act and Commission regulations. For example, typically, civil penalties under 46 U.S.C. § 41107 are awarded in proceedings initiated by the Commission’s Bureau of Enforcement.”); *Ocean Shipping Reform Act: Hearing Before the S. Comm. on Commerce, Sci., & Transp.*, 117th Cong. 2 (March 3, 2022) (statement of

Commissioner Dye noting that the amendment to Section 41107 gives “the Commission the discretionary authority to order refunds **in enforcement proceedings** in addition to civil penalties, or in lieu of civil penalties”) (emphasis added).

Allowing the claims to go forward in the *ILA* case despite the complainant’s erroneous reliance on Section 41107 was proper because the claims alleged violations of the Act and thus could properly be brought under Section 41305. Here, Count V alleges no violation of the Act. Since Section 41107 does not authorize a private reparations action to challenge a Commission regulation, leaving such enforcement to the Commission’s Bureau of Enforcement, Count V must be dismissed.

B. Count V did not state a claim because the regulation on which it is based is inapplicable to the challenged conduct.

Count V purports to be based on a regulation entitled “Amendment, correction, cancellation, and electronic transmission errors.” Am. Compl. ¶ 20. It alleges that Amazon’s refusal to book or tender cargo as required under the contractual minimum quantity commitments after the termination for cause constituted a “cancellation” of the Contract under 46 C.F.R. § 530.10(a)(3). Section 530.10(a)(3) defines a “cancellation” as “an event which is unanticipated by the service contract, in liquidated damages or otherwise, and is due to the failure of the shipper party to tender minimum cargo as set forth in the contract, unless such tender was made impossible by an action of the carrier party.” Count V further asserts that after terminating the contract, Amazon “did not enter or file with the Commission a mutually-agreed amendment of the Service Contract in accordance with § 530.10(a) to provide for termination.” Am. Compl. ¶ 82.

Even if it were the proper basis for a claim, which it is not, the regulation cited in Count V is inapplicable on its face. It defines “cancellation” as “an event which is unanticipated by the service contract, in liquidated damages or otherwise.” Here the cancellation, whether for

convenience or for cause, was expressly negotiated by the parties and memorialized in the Contract. *See* Mot. to Dismiss Attach. A, Contract, Section 5(2)-(3); Mot. to Dismiss Attach. C, Work Order, Schedule 3, Section 5(4). Indeed, the termination for convenience and termination for cause and remedy provisions were anticipated, negotiated, and agreed to by the parties. *See* Interim Final Rule, Service Contracts Subject to the Shipping Act of 1984, 64 Fed. Reg. 11186, 11203 (noting that it would be an “unlikely event that the service contract is canceled as described in § 530.10... and there is no provision for such cancellation in the terms of the contract itself”).

In addition, the amount of damages is established by the Contract, so there is no need to fill any void in terms of how to handle the cancellation by re-rating the cargo. *See id.* at 11200 (“If there is a liquidated damages, or another fall-back rate provision, there will be no need to re-rate the cargo which has already been carried.”). Likewise, there was no need to file an amendment of the Contract with the Commission since Amazon proceeded under the terms of the agreement as written. *See id.* at 11198 (“If the termination occurs as anticipated by the service contract we agree . . . that there is no need for additional notice to the Commission.”).

Chief Judge Wirth properly applied this law to dismiss the claim, holding:

This regulation is in the section on “Service Contracts” and the subsection on “Filing Requirements.” It defines a cancellation as “an event which is unanticipated by the service contract, in liquidated damages or otherwise.” 46 C.F.R. § 530.10(a)(3). Accepting the factual allegations in the complaint as true, the parties’ agreements specifically addressed termination of the service contract and the parties negotiated the terms of such termination, including its impact on minimum quantity commitments and liquidated damages. Because contract termination was addressed in the agreement, such termination was not “unanticipated by the service contract.” 46 C.F.R. § 530.10(e). Complainant does not point to any cases supporting their allegation that the specific facts would need to be anticipated.

June 6 Order, at 22.

China United complains that Chief Judge Wirth’s “interpretation of the regulation is in direct conflict with the sworn statements of Complainants’ expert witness.” CUL App. at 21. But as noted in her order, this “declaration is not sufficient to ignore the plain language of the regulation, which defines a cancellation as something “unanticipated by the service contract.” June 6 Order, at 23. This conclusion is unquestionably correct. The regulation means what it says, regardless of what a witness might opine. Indeed, the declaration on which China United seeks to rely to avoid the plain meaning of the regulation is not even a proper subject of expert testimony. *See, e.g., Berkeley Investment Group, Ltd. v. Colkitt*, 455 F.3d 195, 217 (3d Cir. 2006) (“an expert witness is prohibited from rendering a legal opinion”); *Burkhart v. Wash. Metro Area Transit Auth.*, 112 F.3d 1207, 1212-13 (D.C. Cir, 1997) (“Expert testimony that consists of legal conclusions cannot properly assist the trier of fact in either respect, and thus it is not “otherwise admissible””); *Weston v. WMATA*, 78 F.3d 682, 684 n.4 (D.C.Cir.1996) (stating that “legal conclusions on domestic law are outside [an expert] witness’ area of expertise”); *Torres v. County of Oakland*, 758 F.2d 147, 150 (6th Cir.1985) (holding that expert testimony couched in terms of a “legal conclusion” is “not helpful to the jury”).

Finally, Chief Judge Wirth noted that the reading of the regulation proposed in China United’s (improper) expert declaration would lead to the absurd result that “liquidated damages provisions in service contracts would not be enforceable unless all parties mutually agreed to end the contract by amendment, which would undermine the parties’ agreement regarding termination and liquidated damages. This is not a fair reading of the plain language in the regulation.” June 6 Order, at 23. Indeed, the absurdity goes even farther: if China United’s position were correct, a shipper such as Amazon could not terminate a contract for cause, no matter how egregious the cause, without subjecting itself as the non-breaching party to liability for the difference between

tariff and contact rates. The Contract provided for termination for convenience and for cause, and for the liquidated damages to be paid if the contract were not terminated for cause. The matter was not “unanticipated by the service contract” and the regulation is inapplicable.

When it issued the regulation, the Commission predicted it would be an “unlikely event that the service contract is canceled as described in § 530.10... and there is no provision for such cancellation in the terms of the contract itself”). The Commission has not had any complaint presenting this “unlikely event,” and this is not one. Accordingly, Count V should be dismissed.

VII. CONCLUSION

The Appeal should be denied and Chief Judge Wirth’s June 6th Order dismissing Counts II, III, IV, and V of the Amended Complaint affirmed.

Respectfully submitted,

Michael F. Scanlon
John Longstreth
Christiana K. Goff
K&L GATES LLP
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000
(202) 778-9100 (fax)
michael.scanlon@klgates.com
john.longstreth@klgates.com
christi.goff@klgates.com

Counsel for Respondents

July 22, 2025

CERTIFICATE OF SERVICE

I certify that on this 22nd day of July, 2025, the aforesaid Respondents' Opposition to Complainant's Appeal of Order Partially Granting Motion To Dismiss has been filed with the Secretary for the public docket, with a copy to judges@fmc.gov and served on the following counsel of record.

Vincent J. Foley
HOLLAND & KNIGHT LLP
787 7th Street
New York, NY 10019
(212) 513-3357
vincent.foley@hklaw.com
Counsel to Complainant

_____/ s / John Longstreth _____
John Longstreth